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ACQUISITION WORK-UP · PROPERTYFILES-VERIFIED

602 / 18 Carlton Mill Road

Merivale, Christchurch · Kamahi Apartments penthouse

Listing: PropertyFiles RX4883894 · Cowdy & Co (Tom Rennie / Jake Wieblitz)
Asking: Offers Over $1,449,000 · 2026/27 Capital Value $1,590,000
Title: Unit title (Stratum in Freehold), Identifier 840390 · 2 car parks (AU)
Prepared: 31 May 2026 · Citadel Capital — Acquisitions

1 Executive summary & recommendation

602/18 Carlton Mill Road is the **two-level penthouse** of the *Kamahi Apartments* (built 1974; earthquake-damaged 2011, then purchased by a developer and rebuilt/strengthened to **100% of the new Building Code**) — a boutique 13-unit complex on the Avon River edge of Merivale, opposite Hagley Park and ~5 min to the CBD. All figures below are now **verified against the PropertyFiles documents** (pulled 31 May 2026).

- **Price vs value.** Ask **Offers Over $1,449,000** sits **~9% below the Capital Value** ($1,590,000 for 2026/27; $1,600,000 for 2025/26) and inside the HomesEstimate ($1.43M–$1.6M). For a renovated top-floor unit that is a supportive entry point.
- **Asset.** ~210 m² over two levels; 2 bed / 2 bath + study; 3 decks; **2 basement car parks held on title as accessory units** (602A/B/C). Freehold unit title (Identifier 840390).
- **Clean DD.** Pre-contract disclosure records **No** to weathertightness claims/issues, **No** earthquake-prone status, **No** other significant defects, and **No** body-corporate proceedings. Title carries only a CCC right-of-way/electricity easement; no caveats or mortgage on the search copy.
- **Economics.** Holding costs are heavy: rates **$9,157/yr** + body-corp levy **$16,419/yr** = **$25,576/yr** before maintenance. Rental appraisal **$900–$950/wk** (~$48,100 gross) → **gross yield ~3.3%**, but **net yield ~1.2–1.5%** after rates + levy. This is a capital-quality / lifestyle asset, not an income play.

RECOMMENDATION	**Proceed — the documents materially de-risk the deal.** Seismic (100% code), weathertightness, title and body-corporate health all check out, and the ask is below CV. The body corporate is well run (2025 AGM recorded a **levy decrease** on a favourable insurance renewal; reserves Operating $39,161 + Long-Term Maintenance $91,572). Remaining items are narrow: confirm the **chattels schedule & an offer price/terms** in the S&P, the **insurance reinstatement basis** (sum insured $20.167M), **LTM-fund adequacy** vs the 30-year plan for a 1974 building, an independent **builder's report**, and — first — **current live status** (a Harcourts duplicate shows a "Sold" tag). Recommend a **conditional offer at/below the $1.449M ask**, anchored to CV and the in-building ladder.

2 Verified data (PropertyFiles, 31 May 2026)

Attribute	Detail
Address	602/18 Carlton Mill Road, Merivale, Christchurch 8014
Title	Identifier 840390 — Stratum in Freehold (unit title); Unit 602 + Accessory Units 602A/602B/602C, DP 525346; issued 10 Jan 2019
Encumbrances	CCC right-of-way (in gross) + electricity easement; BC operational rules notice. No mortgage/caveat on search copy.
Building	Kamahi Apartments — built 1974; 2011 EQ damage; developer rebuilt to 100% of new Building Code; 13 units; basement parking, lift, riverside courtyard
Floor area / config	~210 m² over 2 levels; 2 bed, 2 bath (master ensuite), study, laundry; 3 decks; 2 basement car parks (title-backed)
Capital Value	**$1,590,000** (2026/27: land $720k + impr $870k) | $1,600,000 (2025/26)
Council rates	**$9,157.26** p.a. (2025/26)
Body-corp levy (unit 602)	**$16,419.20** p.a. (2026) — decreased this year on favourable insurance
Rental appraisal	**$900–$950 / week** (Cowdy PM, 4 Feb 2026)
BC insurance	NZI via Willis NZ; Material Damage sum insured **$20,167,000**; premium $40,745 (05/03/25–05/03/26)
BC reserves (30/06/25)	Operating $39,160.83 + Long-Term Maintenance $91,571.86; net owners' funds ~$130,733
Asking	Offers Over $1,449,000 (listed 10 Feb 2026)

3 Pricing & valuation

- **Below CV.** The $1.449M ask is ~8.9% under the 2026/27 CV ($1.59M) and ~9.4% under 2025/26 ($1.6M). CV is a rating figure, not market value, but a renovated penthouse being marketed below CV is a constructive starting point and supports a value case at/under ask.
- **$/m².** ~$6,900/m² (ask ÷ 210 m²) — a penthouse premium over standard in-building 2-bed floors (201/18 $789k; 401/18 & 2/18 EOI ~$849–850k), justified by ~double the area, second bath & car park, the study and the only two-level/top-floor/triple-deck unit. It remains the building's price-setter, so anchor to CV rather than to higher in-building comps (there are none).
- **Negotiation.** "Offers Over" + below-CV ask + a possible "Sold" flag on a duplicate listing suggest a motivated or already-progressed vendor. Confirm live status before paid third-party DD.

4 Economics (verified)

Item	Amount	Note
Purchase price	$1,449,000	At ask; negotiate toward CV
Gross rent	~$48,100 p.a. ($925/wk mid)	Cowdy appraisal $900–950/wk
Gross yield	~3.3%	On $1.449M
Council rates	– $9,157	2025/26
Body-corp levy	– $16,419	Incl. insurance, LTM fund, common areas
Pre-mgmt net	~$22,524 (1.55%)	Before mgmt/maintenance/vacancy
Net yield (let)	~1.2–1.5%	After PM ~8% + maintenance/vacancy

Rates + levy alone consume ~53% of gross rent, so the investment return is thin — the thesis is location, scarcity and capital quality (and owner-occupier amenity), not cash yield. Annual cash holding cost if owner-occupied: ~$25,576 (rates + levy) plus personal opex.

5 Building & body-corporate health

- **Seismic / weathertight:** 100% of new Building Code post-2011 rebuild; disclosure confirms not earthquake-prone and no weathertightness issues (claimed, remediated or outstanding). 1974 construction — commission an independent builder's report to validate condition behind the refurbishment.
- **Governance:** professionally managed (Pitcaithly / PBCS; LTM administrator Martyn Cole). 2025 AGM resolutions unanimous; **levies decreased** on a favourable insurance renewal; routine maintenance only (painting, BWoF). No special levies or disputes evident.
- **Reserves & LTMP:** Operating $39,161 + LTM fund $91,572 (30/06/25). 30-year LTM plan adopted Aug 2023 (4% inflation), under 3-yearly review. For a 1974 building the LTM fund is modest — confirm the plan's recommended annual funding is being met and review the forward capex schedule (cedar re-staining cycle, roof repairs allowance).
- **Insurance:** NZI via Willis NZ, sum insured $20.167M ($/unit avg ~$1.55M). Confirm cover is **full reinstatement** (not indemnity) and that the sum insured reflects a current reinstatement assessment; note various excesses.

6 Risk register (post-verification)

Risk	Severity	Status / mitigant
Already under offer / sold (Harcourts "Sold" tag)	High	Open — confirm live status with agent first
Thin net yield (~1.3%); heavy rates+levy ($25.6k/yr)	Medium	Confirmed — frame as capital/lifestyle asset, not income
LTM fund modest for a 1974 building	Medium	Review LTMP funding adequacy & 30-yr schedule
Insurance basis (reinstatement vs indemnity)	Medium	Confirm full reinstatement & current sum-insured assessment

Risk	Severity	Status / mitigant
Latent condition behind refurb	Low-Med	Independent builder's report
Penthouse is building price-setter	Low-Med	Anchor to CV; conditional offer
Seismic / weathertightness / proceedings	Low — cleared	Disclosure all "No"; 100% Building Code
Title (tenure / parking / encumbrances)	Low — cleared	Freehold unit title; car parks on title; only CCC easement

7 Outstanding items & next steps

1. **Confirm live status** with Cowdy (Rennie/Wieblitz) — under offer? price history since 10 Feb launch? other-unit sold prices?
2. Review the **S&P** chattels schedule and settle price/terms (standard ADLS form, fields blank — offer-driven; "and/or nominee" available for Citadel structuring).
3. Confirm **insurance** is full reinstatement and the $20.167M sum insured is current.
4. Assess **LTM-fund adequacy** vs the 30-year plan; scan committee minutes 2015–25 for any recurring building issues.
5. Commission an **independent builder's report**.
6. If status is live and the above hold, **submit a conditional offer at/below $1.449M** (LIM, BC records, builder's report, insurance, finance).

Sources — PropertyFiles RX4883894 documents pulled 31 May 2026: Title (840390), LIM, Rates Valuation, Rental Appraisal, Pre-Contract Disclosure Statement, BC Financial Accounts 2024–25, 2023 LTMP, Insurance Policy, 2025 AGM minutes/notice, S&P, Key Information for Owners (V3 Jul 2025). Plus realestate.co.nz, homes.co.nz, Harcourts PI66387, Bayleys in-building listings, and Citadel internal Drive context. CV is a rating valuation, not market value.